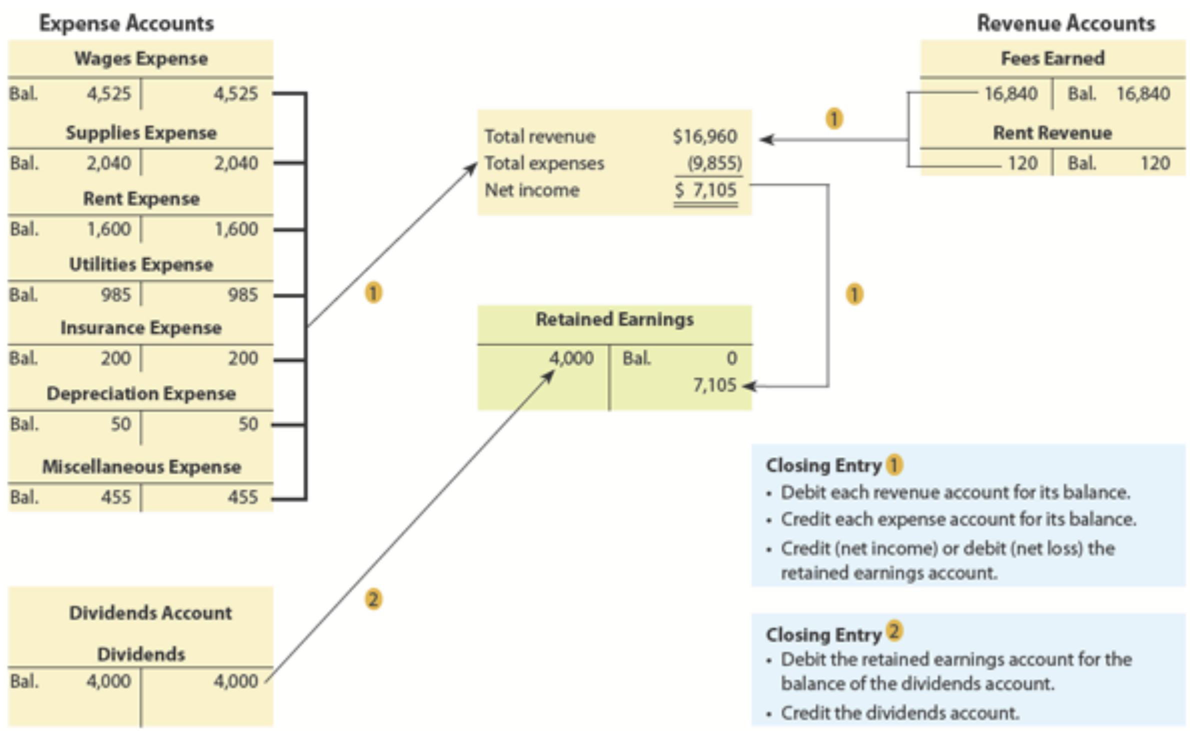
4-3a Journalizing and Posting Closing Entries

A flowchart of the two closing entries for NetSolutions is shown in Exhibit 4. The balances in the accounts are those shown in the Adjusted Trial Balance columns of the end-of-period spreadsheet shown in Exhibit 1.

Exhibit 4

Flowchart of Closing Entries for NetSolutions



The closing entries for NetSolutions are shown in Exhibit 5. The account titles and balances for these entries may be obtained from the end-of-period spreadsheet, the adjusted trial balance, the income statement, the statement of stockholders' equity, or the ledger.

Exhibit 5

Closing Entries, NetSolutions

Journal					Page 6
Date		**Description**	**Post. Ref.**	**Debit**	**Credit**
20Y3	Closing Entries				
Dec.	31	Fees Earned	41	16,840	
		Rent Revenue	42	120	
		Wages Expense	51		4,525
		Supplies Expense	52		2,040
		Rent Expense	53		1,600
		Utilities Expense	54		985
		Insurance Expense	55		200
		Depreciation Expense	56		50
		Miscellaneous Expense	59		455
		Retained Earnings	32		7,105
	31	Retained Earnings	32	4,000	
		Dividends	33		4,000

The closing entries are posted to NetSolutions' ledger as shown in Exhibit 6. After the closing entries are posted, NetSolutions' ledger has the following characteristics:

- The balance of Retained Earnings of $3,105 agrees with the amount reported on the statement of stockholders' equity and the balance sheet.

- The revenue, expense, and dividends accounts will have zero balances.

Exhibit 6

Ledger with Closing Entries—NetSolutions

Account *Cash* **Account No. *11***

					Balance	
Date	**Item**	**Post. Ref.**	**Debit**	**Credit**	**Debit**	**Credit**
20Y3						
Nov. 1		1	25,000		25,000	
5		1		20,000	5,000	
18		1	7,500		12,500	
30		1		3,650	8,850	
30		1		950	7,900	
30		2		2,000	5,900	
Dec. 1		2		2,400	3,500	
1		2		800	2,700	
1		2	360		3,060	
6		2		180	2,880	
11		2		400	2,480	
13		3		950	1,530	
16		3	3,100		4,630	
20		3		900	3,730	
21		3	650		4,380	

Account *Cash* **Account No. *11***

					Balance	
Date	**Item**	**Post. Ref.**	**Debit**	**Credit**	**Debit**	**Credit**
23		3		1,450	2,930	
27		3		1,200	1,730	
31		3		310	1,420	
31		4		225	1,195	
31		4	2,870		4,065	
31		4		2,000	2,065	

Account *Accounts Receivable* **Account No. *12***

					Balance	
Date	**Item**	**Post. Ref.**	**Debit**	**Credit**	**Debit**	**Credit**
20Y3						
Dec. 16		3	1,750		1,750	
21		3		650	1,100	
31		4	1,120		2,220	
31	Adjusting	5	500		2,720	

Account *Supplies* **Account No. *14***

					Balance	
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Nov. 10		1	1,350		1,350	
30		1		800	550	
Dec. 23		3	1,450		2,000	
31	Adjusting	5		1,240	760	

Account *Prepaid Insurance* **Account No. *15***

					Balance	
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Dec. 1		2	2,400		2,400	
31	Adjusting	5		200	2,200	

Account *Land* **Account No. *17***

					Balance	
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						

Account *Land* Account No. *17*

					Balance	
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
Nov. 5		1	20,000		20,000	

Account *Office Equipment* Account No. *18*

					Balance	
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Dec. 4		2	1,800		1,800	

Account *Accum. Depr.—Office Equip.* Account No. *19*

					Balance	
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Dec. 31	Adjusting	5		50		50

Account *Accounts Payable* Account No. *21*

Balance

		Post.				
Date	Item	Ref.	Debit	Credit	Debit	Credit
20Y3						
Nov. 10		1		1,350		1,350
30		1	950			400
Dec. 4		2		1,800		2,200
11		2	400			1,800
20		3	900			900

Account *Wages Payable* **Account No. *22***

					Balance	
		Post.				
Date	Item	Ref.	Debit	Credit	Debit	Credit
20Y3						
Dec. 31	Adjusting	5		250		250

Account *Unearned Rent* **Account No. *23***

					Balance	
		Post.				
Date	Item	Ref.	Debit	Credit	Debit	Credit
20Y3						
Dec. 1		2		360		360

Account *Unearned Rent* **Account No. *23***

Date	Item	Post. Ref.	Debit	Credit	Balance Debit	Balance Credit
31	Adjusting	5	120			240

Account *Common Stock* **Account No. *31***

Date	Item	Post. Ref.	Debit	Credit	Balance Debit	Balance Credit
20Y3						
Nov. 1				25,000		25,000

Account *Retained Earnings* Account No. *32*

Date	Item	Post. Ref.	Debit	Credit	Balance Debit	Balance Credit
20Y3						
Nov. 1						0
Dec. 31	Closing	6		7,105		7,105
31	Closing	6	4,000			3,105

Account *Dividends* Account No. *33*

Date	Item	Post. Ref.	Debit	Credit	Balance Debit	Balance Credit
20Y3						
Nov. 30		2	2,000		2,000	
Dec. 31		4	2,000		4,000	
31	Closing	6		4,000	—	—

Account *Fees Earned* Account No. *41*

Date	Item	Post. Ref.	Debit	Credit	Balance Debit	Balance Credit
20Y3						
Nov. 18		1		7,500		7,500
Dec. 16		3		3,100		10,600
16		3		1,750		12,350
[illegible]		[illegible]		[illegible]		[illegible]

Account *Rent Expense* Account No. *53*

Date	Item	Post. Ref.	Debit	Credit	Balance Debit	Balance Credit
20Y3						
Nov. 30		1	800		800	
Dec. 1		2	800		1,600	
31	Closing	6		1,600	—	—

Account *Utilities Expense* Account No. *54*

Date	Item	Post. Ref.	Debit	Credit	Balance Debit	Balance Credit
20Y3						
Nov. 30		1	450		450	
Dec. 31		3	310		760	
31		4	225		985	
31	Closing	6		985	—	—

Account *Insurance Expense* Account No. *55*

Date	Item	Post. Ref.	Debit	Credit	Balance Debit	Balance Credit
20Y3						
Dec. 31	Adjusting	5	200		200	

Date	Item	Post. Ref.	Debit	Credit	Balance Debit	Balance Credit
31		4		2,870		15,220
31		4		1,120		16,340
31	Adjusting	5		500		16,840
31	Closing	6	16,840		—	—

Date	Item	Post. Ref.	Debit	Credit	Balance Debit	Balance Credit
31	Closing	6		200	—	—

Account *Rent Revenue* — Account No. *42*

Date	Item	Post. Ref.	Debit	Credit	Balance Debit	Balance Credit
20Y3						
Dec. 31	Adjusting	5		120		120
31	Closing	6	120		—	—

Account *Wages Expense* — Account No. *51*

Date	Item	Post. Ref.	Debit	Credit	Balance Debit	Balance Credit
20Y3						
Nov. 30		1	2,125		2,125	
Dec. 13		3	950		3,075	
27		3	1,200		4,275	
31	Adjusting	5	250		4,525	
31	Closing	6		4,525	—	—

Account *Supplies Expense* — Account No. *52*

Date	Item	Post. Ref.	Debit	Credit	Balance Debit	Balance Credit
20Y3						
Nov. 30		1	800		800	
Dec. 31	Adjusting	5	1,240		2,040	
31	Closing	6		2,040	—	—

Account *Depreciation Expense* — Account No. *56*

Date	Item	Post. Ref.	Debit	Credit	Balance Debit	Balance Credit
20Y3						
Dec. 31	Adjusting	5	50		50	
31	Closing	6		50	—	—

Account *Miscellaneous Expense* — Account No. *59*

Date	Item	Post. Ref.	Debit	Credit	Balance Debit	Balance Credit
20Y3						
Nov. 30		1	275		275	
Dec. 6		2	180		455	
31	Closing	6		455	—	—

As shown in Exhibit 6, the closing entries are normally identified in the ledger as "Closing." In addition, a line is often inserted in both balance columns after a closing entry is posted. This separates next period's revenue, expense, and dividend transactions from those of the current period. Next period's transactions will be posted directly below the closing entry.

Business Insight

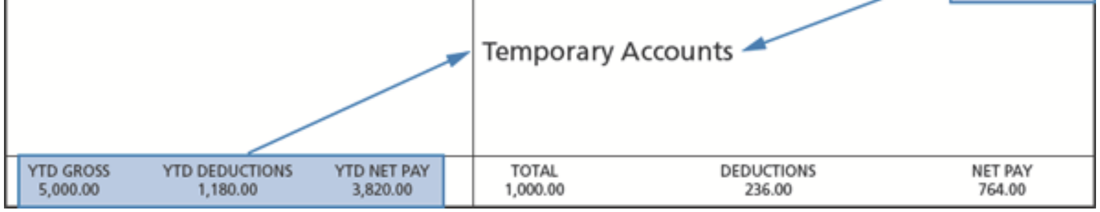
Temporary Accounts on Your Pay Stub

At the end of every pay period, employees receive a paycheck (or direct deposit) and a pay stub. The pay stub might look something like this:

Sample Company Name, Sample Company Address, 95220 — **EARNINGS STATEMENT**

EMPLOYEE NAME	SOCIAL SEC. ID	EMPLOYEE ID	CHECK No.	PAY PERIOD	PAY DATE
James Robert	XXX-XX-6666	151515	259248	01/23/Y8–01/29/Y8	01/31/Y8

INCOME	RATE	HOURS	CURRENT TOTAL	DEDUCTIONS	CURRENT TOTAL	YEAR-TO-DATE
GROSS WAGES			1,000.00	FICA MED TAX	14.50	72.50
				FICA SS TAX	62.00	310.00
				FED TAX	159.50	797.50



Each of the year-to-date accounts shown on the pay stub are temporary accounts. Each account describes the increases and decreases in the net cash received for the employee’s work over the year. Increases are the gross pay, while decreases are deductions, such as Medicare taxes, social security taxes, and federal withholding taxes (FICA MED TAX, FICA SS TAX, and FED TAX in the illustration). These amounts are accumulated so that year-to-date summaries are provided as the year progresses. This is similar to income statement accounts that accumulate revenues and expenses over the period. At the end of the year, all of the year-to-date accounts are reset to zero to prepare for the next year’s accumulation. This is similar to closing income statement accounts, which are also set to zero at the beginning of the new period.

Check up Corner 4-2

Closing Entries

After the accounts have been adjusted at December 31, the end of the year, the following balances are taken from the ledger of Wyatt Services Co.:

Retained Earnings	$615,850
Dividends	25,000
Fees Earned	380,450
Wages Expense	250,000
Rent Expense	65,000
Supplies Expense	18,250

Miscellaneous Expense	6,200

Journalize the closing entries.

Chapter 4: The Accounting Cycle: 4-3a Journalizing and Posting Closing Entries
Book Title: Financial and Managerial Accounting
Printed By: Raydel Castro Guerra (raydel.castro001@mymdc.net)